9. Income taxes:

In 2007, the Company recognized a $2.1 million liability for alternative minimum tax and interest.. The Company's potential liability resulted primarily from timing differences for deductions for amounts paid to the Company's MSA escrow accounts. The Company recognized interest related to the liability for uncertain tax positions in income tax expense. During the first three fiscal quarters of 2008, the Company recognized approximately $120 thousand , of interest expense associated with uncertain tax positions. In 2005, the Company's request for a private letter ruling, or PLR, which related to the years under IRS examination, was resolved generally in its favor and an amended private letter ruling, or Amended PLR, was issued by the IRS in January 2009. The Amended PLR confirmed that the Company's deductions taken for MSA escrow payments, which were the subject of the IRS ongoing audit for tax years 2001 through 2004 and a pending tax appeal, were fully deductible and appropriate in the years taken. Based on the Amended PLR, the Company entered into a closing agreement with the IRS which confirmed the deductions taken for those years and, thereafter, the IRS confirmed that the Company's tax returns for the years 2001 through 2004 were correct as filed. As a result of the notification by the IRS in the Amended PLR, the Company derecognized its position of recording this income tax expense as of December 31, 2008, which resulted in a $2.2 million income tax benefit.

Net deferred tax assets and liabilities consist of the following:

$ thousand	2010	2009
Deferred tax assets:		
Net operating loss carry-forwards (portions subject to annual limitation)	$ 54,853	$ 47,778
Credit carry-forward	477	501
Stock option compensation	4,639	1,442
Differing basis in property and equipment for tax and financial reporting purposes	(38)	17
Inventory Reserve	194	—
Other	82	20
	60,207	49,758
Deferred tax liabilities:		
MSA escrow payments taxable in future	(138)	(137)
Valuation Allowance*	(60,069)	(49,621)
	$ —	$ —

* Based on the information available, management believes the allowance is appropriate.

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Income tax benefit consists of the following:

	2010	2009	2008
Current:			
Federal	$ —	$ —	$ —
State	—	—	—
Deferred benefit	—	—	—
	$ —	$ —	$ —

The provision for income tax expense varies from that which would be expected based on applying the statutory federal rate to pre-tax accounting loss as follows:

	2010	2009	2008
Statutory federal rate	(34.00)%	(34.00)%	(34.0)%
Permanent items	(0.33)	0.57	0.44
State tax provision, net of federal benefit	(3.45)	(3.45)	(3.45)
Valuation allowance	37.78	36.88	37.01
	(0.00)%	(0.0)%	(0.0)%

At December 31, 2010, the Company had net operating loss carry-forwards of approximately $148 million, which expire from 2010 through 2030. As a result of previous ownership changes, an aggregate of $532 thousand in Federal loss carry-forwards are limited to $116 thousand annually.